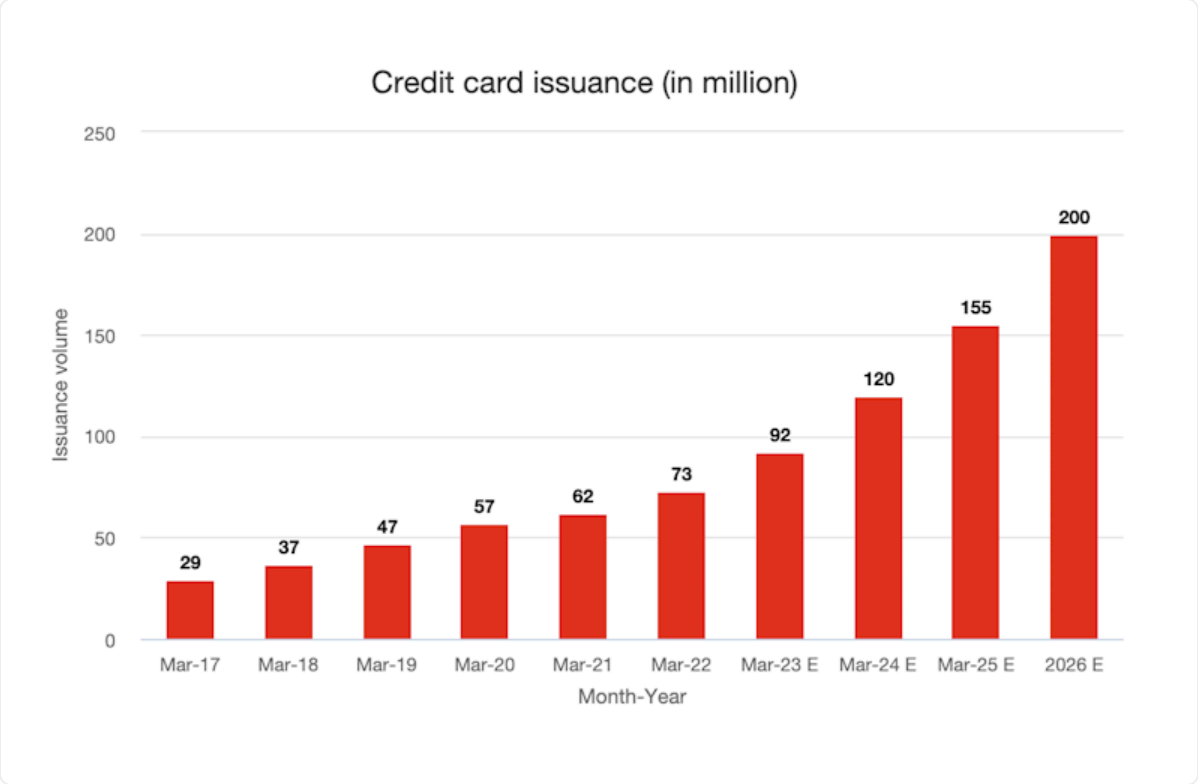
Credit Cards History

Credit card history of India

The credit card industry has grown tremendously in India. There are many developments happening in the space, with varied innovations and changes in technology. These new developments offer smooth onboarding journeys, differentiated card products, personalised offers and rewards, and better mobile apps, which have proved to be greatly beneficial to existing customers and attracted new customers as well. Credit card issuers are also making efforts to bring further innovation and awareness to this space. The same can be seen from the significant growth in India's credit card market.

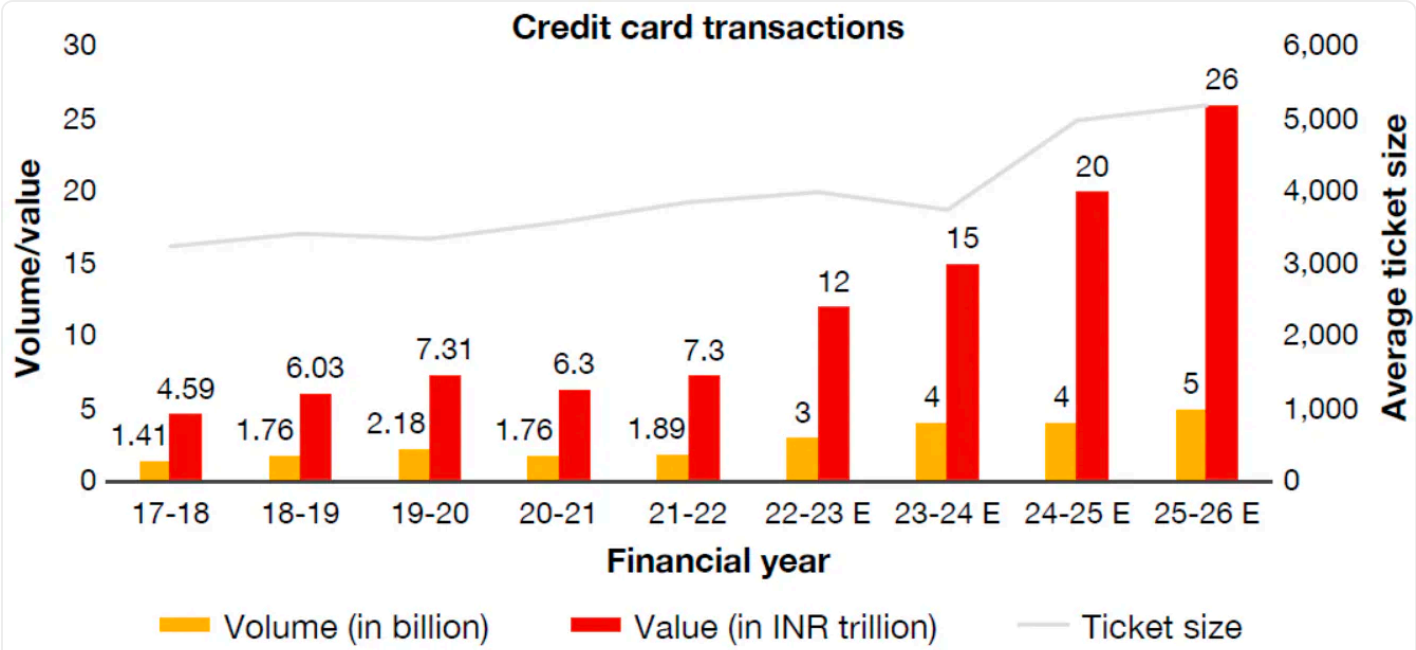
The credit card industry in India has witnessed a compound annual growth rate (CAGR) of 20% in the last five years. The number of credit cards crossed 78 million in July 2022. Moreover, in May 2022, the overall credit card spend reached its highest-ever number of INR 1.13 lakh crore.3 Despite the considerable overall increase in credit card spends, the growth trajectory dipped during FY 2020–21 due to the COVID-19 pandemic, when it increased marginally by only 9%. Also, there were a few interventions by the Reserve Bank of India (RBI) which barred some of the largest credit card issuers from issuing new cards in India.



With the emergence of e-commerce, the adoption of contactless payments, and changes in the value proposition, the post-pandemic credit card space has undergone considerable changes and is evolving constantly. Credit card issuance increased by 15% during FY 2022. However, 80% of the credit card base is concentrated among the top six issuers in the country.

In FY 2021–22,6, transaction spending increased to INR 11.5 trillion, 1.8 times the growth from FY 2020–21, when the total spending was INR 6.3 trillion.

Card-based transactions are expected to grow by 16% year-on-year for the next four years. Also, RBI Payments Vision 2025 has outlined that card acceptance infrastructure will increase to 250 lakh touchpoints, which will further boost transactions in India. The average ticket size has steadily grown 7.3% after recovering from the dip in FY 2019–20. This indicates the customers' increased preference towards credit cards as a payment mode for high-value purchases.
Having said that, India is still largely an underpenetrated market, and only 3% of the population has a formal credit card.



Source: RBI data and PwC payments handbook 2021–22

Segments with low penetration

Segmentation

Parameters	Low-penetration segments
Location	Tier II and III cities
Occupation	Self-employed professionals
Age	18–25 years 55+ years
Income	Customers with income in the range of INR 2.5–5 lakh
Relationship	New to credit

As per the RBI, 65% of the credit card penetration is present in tier I cities. Comparatively, the penetration in tier II and III cities has been significantly less. However, with the introduction of new business centres in tier II and III cities – such as Surat, Nashik and Kanpur – the increase in economic activities, entry of major brands across categories and emergence of manufacturing and service-based economy, there has been a considerable increase in the salaried customer base in these cities.

The self-employed professionals such as freelancers, doctors, chartered accountants and architects, remain one of the least-penetrated segments in the credit card industry. Today, a few FinTech players offer products catering to business-related credit-cumpayment needs of a self-employed professional. Entry of new players with differentiated offerings, coupled with value-added services, will help deepen the penetration of this segment.

Early jobbers, who typically fall within the age bracket of 18–25 years and are new to the employment market, generate a substantial demand for credit cards. However, the non-availability of credit history and low starting income have restricted the supply of credit

cards. To curb this, some credit card issuers have started the issuance of cards with lower limits. It is expected that this will encourage the adoption of credit cards in this segment. Moreover, issuers may later offer upgraded and complex product propositions to the customers.